

FOIR and Income Policy

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1. FOIR Definition and Formula

Fixed Obligation to Income Ratio (FOIR) measures an applicant's total fixed monthly financial obligations (including the proposed EMI) as a percentage of net monthly income:

FOIR (%) = (Total Existing EMIs + Credit Card Minimum Due + Proposed EMI) ÷ Net Monthly Income × 100

2. Maximum FOIR by Applicant Category

Applicant Category	Maximum Permitted FOIR
Salaried	50%
Self-Employed	45%
Pensioner	40%

3. Existing Obligation Rules

- All active EMIs reflected in the applicant's credit bureau report must be included, regardless of lender.
- Credit card obligations are counted at 5% of the outstanding statement balance, per card.
- Obligations where the applicant is a co-signer/guarantor are included at 50% weight unless the primary borrower's repayment track record is fully current for 24 months.

4. FOIR Calculation Example

Example: Net monthly income Rs. 60,000. Existing car loan EMI Rs. 8,000. Credit card outstanding Rs. 40,000 (5% = Rs. 2,000). Proposed personal loan EMI Rs. 12,000.
FOIR = (Rs. 8,000 + Rs. 2,000 + Rs. 12,000) ÷ Rs. 60,000 × 100 = **36.7%** - within the 50% salaried threshold.

5. Exception Handling

Applications exceeding the maximum FOIR by up to 5 percentage points may proceed to Manual Review if supported by a co-applicant with independent income, or additional collateral cover of at least 25% of the loan amount. FOIR breaches beyond 5 percentage points above threshold are Not Eligible under this policy without Risk Committee override.